Treasurer & Tax Collector
CITY AND COUNTY OF SAN FRANCISCO

Saving The Empty Homes Tax

Produced By:
Ian Marcel F.L. Parks
BUS 300 Business Communications

Executive Summary

Following a 2014 report (SPUR 2014; U.S. Census Bureau 2019) San Francisco' voters enacted the Empty Homes Tax (Measure M), which was later ruled unconstitutional *(SF Superior Court, Case No. CGC-23-604600)* and is currently unenforceable, leaving the City without an active policy to address residential vacancies.

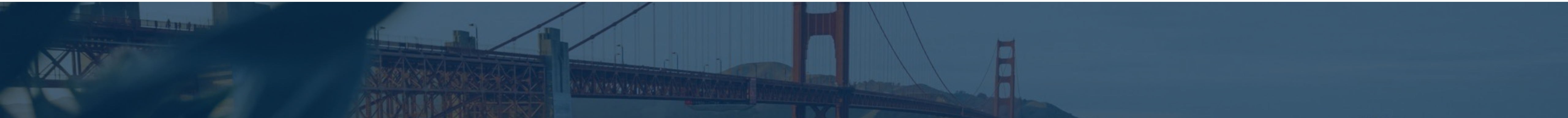
The City and County of San Francisco must determine how to redesign Measure M into legally defensible policy that incentivizes the use of vacant housing units while stabilizing rents and expanding access for low-income residents.

The original measure was likely invalidated because it functioned as a coercive, overly broad penalty, raising concerns under the Takings Clause and conflicting with the Ellis Act. As a result, simply reviving the original tax structure is unlikely to succeed. This report evaluates multiple policy options, including maintaining the status quo, redesigning the vacancy tax, implementing landlord incentives, and expanding risk-sharing models such as master leasing.

Recommendation: Adopt a hybrid policy approach combining a redesigned use-based vacancy tax targeting long-term, non-primary vacancies, landlord incentives to encourage voluntary leasing, and a city-backed leasing guarantee program to reduce financial risk.

Expected Impact: Activation of 500–1,000 vacant units, reduced landlord risk and increased participation, and faster housing supply impact than new construction with a potential for partial or full cost offset through vacancy fee revenue

Bottom Line: San Francisco should shift from punishing vacancy to structuring incentives and risk-sharing mechanisms that make leasing the rational economic choice.



Option 1: Maintain the Status Quo

The City and County could continue its current approach: suspend collection, defend MeasureM in court, and wait for a final ruling.

This option:

- Avoids immediate redesign/reimplementation costs
- Preserves the City's legal position on Measure M
- Avoids new administrative burden, and is
- The lowest-effort option

However, this option also:

- Fails to produce new housing availability
- Leaves vacancy policy unresolved;

While the lowest-effort option, this option is not neutral. This approach keeps the City in a defensive posture while enforcement remains suspended. Given San Francisco's budget pressures and housing shortage, waiting for the courts does not solve the policy problem.

Option 2: Narrower, Targeted Vacancy Tax

The City and County of San Francisco would redesign the Empty Homes Tax as a use-based tax on long-term residential vacancy, targeting underutilized housing while preserving flexibility for property owners. The tax would apply only to units left vacant for extended periods.

To withstand constitutional scrutiny, the redesigned vacancy tax is narrowly tailored, clearly structured as a legitimate tax, and directly tied to a compelling public purpose.

Option 2 is more likely to change market behavior than alternative policies because it increases the cost of holding vacant units, which creates a direct financial incentive to either rent, sell, or otherwise activate unused housing. Unlike incentive-based approaches, which rely on voluntary participation, this model applies consistent pressure on landlords.

Finally, this policy is well-aligned with San Francisco's immediate housing needs. It leverages existing housing stock, which is faster option than relying on new construction, and directly addresses underutilization rather than solely subsidizing demand.

Opponents may argue that the tax is an unconstitutional taking (Fifth Amendment) and that the tax undermines California's Ellis Act (Cal. Gov't Code § 7060 et seq.). The City & County believes that *Penn Central Transpo rtation Co. v. New York City* overcomes this challenge. The redesigned measure imposes a modest, graduated tax rather than depriving owners of property use, and includes clear exemptions for legitimate vacancy. Because owners remain free to exit the rental market, and the measure regulates property use (not rental status) it reduces the likelihood of conflict with the Ellis Act.

Option 3 : Incentives, Tax Credits & Subsidies

The City should restructure the Empty Homes policy as an incentive-based system that encourages rental activity rather than penalizing vacancy.

The redesigned measure will:

- Provide tax credits or reductions for landlords who lease vacant units within a defined period (6 – 12 months)
- Offer enhanced incentives for participation in voucher programs (including low-income housing vouchers)
- Expand benefits for landlords who set rents below established affordability thresholds

This approach shifts the policy from enforcement-based compliance to voluntary participation, reducing legal exposure while preserving
housing policy goals.

This approach is consistent with established housing frameworks such as the Low- Income Housing Tax Credit(LIHTC) Housing Choice Voucher programs, which use financial incentives to increase housing supply and landlord participation. Similar local programs offering leasing bonuses, guarantees, and risk
mitigation has been used to activate vacant units without regulatory mandates.

Opponents may argue that targeted incentives create unequal treatment among property owners, favoring those who participate while excluding others. However, Courts generally uphold differential treatment in economic policy where it is rationally related to a legitimate governmental interest. Housing incentive programs routinely apply eligibility criteria to advance public goals. Under Penn Central Transportation Co. v. New York City, policies that impose limited burdens while addressing a clear
public-need, such as housing affordability, are typically permissible.

Option 4: Master Leasing Program

The City and County of San Francisco should expand its master leasing program to partner with private landlords and activate vacant or underutilized units into active use. Under this model, the City would lease units from property owners, guaranteeing consistent rental payments while assuming key risks related to vacancy, tenant placement, and turnover.

The City would then sublease these units to eligible residents, prioritizing high-need housing types such as single-room occupancy (SRO) units and below-market-rate (BMR) housing where feasible. This structure allows the City to rapidly expand housing availability using existing stock while maintaining flexibility in tenant placement.

This approach reduces vacancy through voluntary contractual agreements, rather than regulatory mandates or financial penalties. By removing financial and operational risk for landlords, the program makes participation more attractive than leaving units vacant.

Similar models have been successfully implemented in Los Angeles, where Los Angeles County and the Los Angeles Homeless Services Authority (LAHSA) use master leasing to secure entire buildings and sublease units to unhoused residents. The City of Los Angeles has also adopted a citywide master leasing strategy to quickly convert private units into usable housing supply. (LAHSA 2022)

Opponents may argue that master leasing creates significant fiscal risk by requiring the City to guarantee rent payments, exposing public funds to long-term financial obligations. However, While the City assumes upfront costs, master leasing is often less expensive than downstream costs associated with homelessness, including emergency shelter, healthcare, and public safety expenditures

Recommendation: Hybrid Approach Balancing Risk & Needs

We recommend a hybrid approach that combines Options 2, 3 4. That is a redesigned use-based tax on long-term residential vacancy, targeting underutilized housing, combined with Tax Credits/Subsidies and a city-backed leasing guarantee.

No single option fully solves our problem. Incentives alone are too weak and guarantees alone are too costly without targeted enforcement. Combined, these options reduce landlord risk, activate supply quickly, and avoid the legal vulnerabilities that invalidated Measure M. This positions the City to act immediately, while maintaining flexibility as litigation continues.

This option is:

- More practical than reviving the original tax
- More legally defensible than original model
- Reduces addresses landlord risk
- Faster than new construction *(Terner Center of LAO)*

Implementation & Costs: Moderate Upfront Investment; Long-term Benefits Pay for Themselves

COSTS

Landlord Incentives

$2000 - $5000 Per complaint unit
Total pilot costs: $1M-$8M

Master-Leasing Fund

Estimated $8k-$15K per unit
Covers non-payment, damages and vacancy gaps

Administrative Costs

Estimated annual costs of $0.5M-$1.5M

REVENUE OFFSET

Redesigned Vacancy Tax

$6M-$36M

Estimated annual revenue from non-compliant landlords

Master-Leasing Fund Recoup.

The City & County will set rents equal to a % of tenants' monthly income.

Annual Savings per Tenant

On average, chronically homeless individuals cost taxpayers $35,578 annually. Supportive housing has been reported to cut these costs by 49.5%. That’s an annual savings of $17,611.11. This translates to approximately $52.6 million in potential public-service cost avoidance.

Sources: National Alliance to End Homelessness (2017); San Francisco 2024 Point-in-Time Count; Urban Institute (2023); LAHSA (2022); HUD Continuum of Care Program Guidelines